

Introduction to partnerships [¶23-010]

[¶23-010]

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“Partnership” is defined to include a group of 2 or more persons who have, between themselves, the relationship described in s [8\(1\)](#) of the Partnership Law Act 2019. The Partnership Law Act defines a “partnership” as “the relationship that exists between persons carrying on a business in common with a view to profit”.

The income tax treatment of partners in a partnership is comparatively straightforward and is codified by a set of rules in subpart [HG](#) of the Income Tax Act (IT07). Subpart [HG](#) contains rules that apply to both limited partnerships and general partnerships.

The key difference between partnership taxation and company systems of taxing small businesses is that gross partnership income is attributed directly to the owners, whereas companies attempt to achieve this indirectly by dividend imputation. “Private use” transactions in partnerships are addressed by an apportionment of deductions, whereas companies adopt an FBT regime for shareholder–employees and a dividend regime for other shareholders.

Whether a general partnership (ie one that is not a limited partnership) exists is a question of fact to be determined in light of all the surrounding circumstances. Consequently, the existence or absence of a normal written partnership agreement is not conclusive evidence as to the existence of a general partnership. The fact that one or some of the partners work actively in the partnership business does not of itself preclude the conclusion that a partnership exists as between all the partners. The fact that only one partner has initially introduced capital into the partnership does not prevent there being a partnership if, for example, there is:

- # the existence of a bank account into which receipts are banked and out of which expenses are paid
- # the registration of a business name in the joint proprietorship of the partners
- # drawings against profits
- # a structure presented to outside parties, ie notification to the public, particularly suppliers and customers, and
- # joint leasing or ownership of business premises.

Partnerships may be terminated by the expiry of a set time, by mutual agreement, by the giving of notice or on the grounds set out in the Partnership Law Act. Whichever method is used, a partnership may not be dissolved or created with retrospective effect. See *Rowe (B and HG) v FC of T* 82 ATC 4243. As a matter of practice, however, the Commissioner is prepared to backdate recognition of a partnership in some cases. This is when the partnership deed merely evidences an existing partnership arrangement established by verbal arrangement and the deed is executed within 12 months of commencement of the partnership.

Interpretation Statement

[IS 25/11](#), “Income tax – Partnerships (including limited partnerships) – general guidance” provides comprehensive information as to the income tax treatment of both types of partnership, including where a treatment differs in its application between a partnership and a limited partnership, eg limited partnerships and the deduction limitation rule. The statement contains a number of examples, as referenced below.

[IS 25/11](#) does not consider overseas limited partnerships or listed limited partnerships. Neither does it address the GST treatment of partnerships.

Law: IT07 s [YA 1](#); PL s [8\(1\)](#)

Last reviewed on 31 December 2025

Background to limited partnerships [¶23-020]

[¶23-020]

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The Limited Partnerships Act 2008 came into force on 2 May 2008, creating a new legal entity in New Zealand called the limited partnership. The Act was accompanied by codified tax rules for both limited and general partnerships that came into effect on 1 April 2008.

The limited partnership rules to some extent replaced the older special partnerships rules that were repealed with effect from 2 May 2008.

Last reviewed on 31 December 2025

Key features of limited partnerships [¶23-022]

[¶23-022]

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Separate legal identity and flow-through tax treatment

A limited partnership is a separate legal person, having a separate legal personality from its partners. This makes it more akin to a company. However, a limited partnership is also a flow-through entity for New Zealand income tax purposes (ie losses and gains are attributed to the partners directly).

As a result, it is anticipated that limited partnerships will be the preferred investment vehicle for foreign venture capital investors because they will allow investors to limit their exposure to liability while at the same time providing a flow-through tax mechanism in relation to gains and losses, allowing them to recognise those gains or losses in their home country.

The partners

A limited partnership must have at least one general and one limited partner who is not the same person. Any “person” can be a partner in a limited partnership including natural persons, companies, partnerships and other unincorporated bodies.

General partners manage the business and are liable for the debts and obligations of the partnership (their role closely resembles the directors in a company). Limited partners are usually passive investors and are only liable for debts of the partnership to the extent of their capital contribution (their role closely resembles the shareholders of a company).

A general partner has the authority to bind the limited partnership and is an agent of the partnership. A general partner may also, but does not have to, make a capital contribution to the partnership. Each general partner is jointly and severally liable with the limited partnership and any other general partners for the debts and liabilities of the limited partnership. A general partner may choose to limit its liability by incorporating (ie the general partner may be a company).

The partnership must have at least one general partner that satisfies the “resident requirement”. This means all limited partnerships must have at least one general partner who is:

- # a natural person who lives in New Zealand
- # a limited partnership that has one or more general partners who are natural persons who live in New Zealand
- # a partnership governed by the Partnership Law Act 2019 that has one or more partners who are natural persons who live in New Zealand
- # an overseas company registered under the Companies Act 1993 that has one or more directors who are natural persons who live in New Zealand
- # a company.

Note that for the first 4 bullet points above, the requirement will also be met if the relevant person lives in one of a number of prescribed countries and is a director of a company that is registered in that country.

A general partner must also not be disqualified from being a general partner under s 19A, which refers generally to persons prohibited from being a director, promoter, or otherwise taking part in the management of a company under the Companies Act, Financial Markets Conduct Act, Takeovers Act, or equivalent overseas legislation.

A limited partner is prohibited from taking part in the “management” of the partnership. [Schedule 1](#) to the Limited Partnerships Act 2008 lists the activities that do not constitute taking part in the management. These “safe harbour activities” can be broken down into 2 broad categories:

- # activities relating to strategic or otherwise significant decisions in the limited partnership (eg varying the partnership agreement), and
- # actions taken in a different capacity (eg acting in the capacity of a director or shareholder of a general partner that is a body corporate).

Limited partnership agreement

A limited partnership must have a written partnership agreement that governs the affairs of the partnership and the conduct of its business. On registration of the partnership with the Registrar of Companies, the agreement acts as a contract between the limited partnership and the partners. The Limited Partnerships Act lists out matters that are required in the agreement.

Law: LP ss [8–11](#), [18–20](#), [26](#), [47](#), [Sch 1](#)

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Overseas limited partnerships [¶23-025]

[¶23-025]

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An overseas limited partnership is defined in s [4](#) of the Limited Partnerships Act 2008 as a partnership formed or incorporated outside New Zealand:

- # with one or more general partners who are liable for all the debts and liabilities of the partnership, and
- # with one or more limited partners who have only limited liability for the debts and liabilities of the partnership.

An overseas limited partnership that commences business in New Zealand must apply for registration within 10 working days of commencing that business. Carrying on business in New Zealand includes administering, managing or dealing with property in New Zealand as an agent, personal representative or trustee. Certain activities do not constitute carrying on business in New Zealand. These include being a party to legal proceedings in New Zealand, holding a meeting of partners in New Zealand or maintaining a New Zealand bank account.

Law: LP ss [4](#), [104–114](#)

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Introduction to taxation of partnerships [¶23-030]

[¶23-030]

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Specific rules for partnerships were enacted in an attempt to codify and clarify the tax treatment of both general and limited partnerships.

Generally, both limited and general partnerships are taxed in the same manner under the IT07. However, some additional tax rules apply to limited partnerships:

- # a loss limitation rule applies to restrict losses claimed by limited partners to the value of their economic investment in the partnership ([¶23-080](#)), and

- # a general partner will always be associated with the partnership under the associated persons test in s [YB 12](#). However, for limited partners, a 25% interest threshold must be met before the limited partner and the partnership will be associated (s [YB 12\(2\)](#)). Note the test of association in s [YB 12\(2\)](#) applies if s [YB 16B](#) does not apply ([¶16-245](#)).

The definition of “partnership” also includes joint ventures and co-owners of property if all the joint venturers or co-owners elect to be treated as a partnership for the purposes of the IT07 and the Tax Administration Act 1994 (TAA). Therefore, the tax rules for partnerships may also apply to joint ventures and co-owners of property.

Law: IT07 s [YA 1](#) (“partnership”)

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Structure of the legislation [¶23-035]

[¶23-035]

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Subpart [HG](#) to the IT07 contains the tax rules relating to joint venturers, partners and partnerships. In addition to the rules in subpart [HG](#), the following key provisions are also relevant:

- # s [CB 35](#) — Amounts of income for partners
- # s [CW 55B](#) — Amounts of exempt income for partners
- # s [CX 62](#) — Amounts of excluded income for partners
- # s [DV 20](#) — Partners (deductions)
- # s [GB 50](#) — Arrangements involving partners and owners
- # s [YB 12](#) — Partnership and partner (associated persons)
- # s [YB 14](#) — Tripartite relationship (associated persons), and
- # s [YB 16B](#) — Limited partnerships treated as companies.

Law: IT07 subpart [HG](#)

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Flow-through tax treatment [¶23-040]

[¶23-040]

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The general rule is that partnerships are transparent for income tax purposes. Unless there is a specific rule that provides otherwise, a partner in a partnership is to be treated as:

- # carrying on an activity carried on by the partnership and having a status, intention and purpose of the partnership
- # holding property that a partnership holds, in proportion to the partner's partnership share
- # being a party to an arrangement to which the partnership is a party, in proportion to that partner's partnership share, and
- # doing a thing and being entitled to a thing that the partnership does or is entitled to, in proportion to the partner's partnership share.

A natural consequence of the flow-through tax treatment is that partners in the partnership will be taxed on their share of partnership income at their marginal tax rate. This is advantageous to partners whose marginal rates are lower than the corporate tax rate.

There will also be no additional tax to be paid on distribution of partnership income (subject to the loss limitation rule for limited partnerships ([¶23-080](#)) because partners are deemed to have derived partnership income directly. Thus, capital gains can be distributed to partners tax-free as they are derived (in comparison with a company where capital gains can only be distributed tax-free on liquidation).

Any losses incurred by the partnership will be passed through directly to partners ([¶23-120](#)). Specific rules where the partnership is to be treated as opaque, not transparent, are where payment is made to a former partner, or to a working partner and the partnership is engaged wholly or mainly in investing money or in holding, or dealing in, shares, securities, investments, or estates or interests in land ([¶23-132](#)). Similarly, where a partnership provides a lease for inadequate rent to a relative of a partner or a related company of the partnership ([¶23-134](#)).

No streaming of partnership income

The IT07 provides that all partnership income must be allocated to each partner in accordance with the partner's "partnership share" in the partnership's income. Therefore, each source of income derived by the partnership needs to be allocated to each partner on a pro rata basis according to their share in the partnership's income.

"Partnership share" is defined as meaning "for a particular right, obligation, or other property, status, or thing, the share that a person has in the partnership". This definition is intended to allow situations where a partner's share in partnership income differs from their share in partnership assets. This is common in professional services partnerships where a partner's entitlement to income may be decided by considering other factors such as the partner's individual performance during the year.

Question we've been asked

QWBA, [QB 17/09](#), "Is there full or partial disposal when an asset is contributed to a partnership as a capital contribution?" arose because it had been suggested the flow-through effect of s [HG 2\(1\)](#) means that where a person, in their non-partner capacity, disposes of an asset to a partnership as a capital contribution, the person disposes of only part of the asset. This is because, following the disposal, the person, in their capacity as partner, is treated as holding the asset in proportion to their partnership share. The Commissioner rejects this view and concludes there is a full disposal of the asset. This is because:

- # In the absence of any applicable provision in the IT07, the answer is determined under partnership law and the general law.

Where a person contributes an asset to a general partnership, the legal ownership of the asset and the person's interest in the asset all fundamentally change. Before disposal, the person is the sole owner of the asset. Following disposal, the asset ceases to be the person's property. The asset belongs to the partners of the partnership as joint owners and is partnership property. The person and their co-partners each have a beneficial interest in the whole of the asset, and the asset, as partnership property, must be used exclusively for the purposes of the partnership. There has been a disposal of the asset by its sole owner to joint owners.

Where the person contributes the asset to a limited partnership, the person has fully disposed of the asset to a separate legal person, which has not held any previous interest in the asset.

This means, for example, that where the asset disposed of is either depreciable property or revenue account property (which includes trading stock) for the person, the person may have an amount of depreciation recovery income or depreciation loss, or income or loss, calculated on the basis that the person has fully disposed of the asset.

Law: IT07 ss [CB 35](#), [HG 2](#), [YA 1](#) ("[partnership share](#)")

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Dissolution of a partnership [¶23-045]

[¶23-045]

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Dissolution of a partnership for tax purposes will only occur when the partnership dissolves by:

- # agreement of the partners
- # court order, or
- # the operation of the law that results in fewer than 2 partners remaining, and the partnership ceases to carry on business.

Where the dissolution rule applies, any consideration received by the partner for the disposal of their interests is ignored for tax purposes and the partner is instead treated as having disposed of and reacquired all of their interests at market value. The partner will be taxed on any resulting gain or loss on any subsequent disposal of their interests.

Exclusions

The dissolution rule does not apply to an actual disposal of a partnership interest by a partner to a non-associated third party. For these purposes, the partner's partnership capacity is ignored for testing association.

The dissolution rule does not apply if a partnership is a partnership of 2 persons who are in a married, civil union or de facto relationship, and the dissolution is caused by the death of one of the partners or relates to the settlement of relationship property. In such cases, any intervening transfer is ignored and the transfer is dealt with in terms of subpart [FB](#) or [FC](#). Market value does not apply to these transfers.

Law: IT07 s [HG 4](#)

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Disposal of partnership interests [¶23-050]

[¶23-050]

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Under the flow-through provision, each partner is deemed to hold partnership assets directly in proportion to their respective partnership share. Thus, a disposal of an interest in a partnership is treated as a disposal of the partner's share in the underlying assets of the partnership and the normal tax consequences on the sale of assets will result. However, except where the disposal is by way of a final partnership dissolution (ss [HG 3\(1\)](#) and [HG 4\(1\)](#)), ss [HG 5–HG 10](#) provide a number of exemptions from the general rule ([¶23-045](#)).

General de minimis exemption — s HG 5

A general de minimis exemption applies when a partner (referred to as the “exiting partner”) disposes of some or all of their partner's interests in a partnership. Where the net gain on disposal of the partner's interest is less than \$50,000, the purchaser (or “entering partner”) will “step into the shoes” of the exiting partner. (The entering partner can include a person who is already a partner in the partnership.) The ability to “step into the shoes” of the exiting partner essentially removes any tax consequences to both the entering and exiting partners. Where the net gain is greater than \$50,000, the exiting partner must account for tax on the proceeds of disposal.

The following formula is used to determine whether the exiting partner must account for tax on disposal of their partner's interest:

$$\text{disposal payment} + \text{previous payments} \# (\text{gross tax value} \# \text{liabilities}) \# \$50,000$$

where, generally:

disposal payment is the total consideration paid or payable to the exiting partner for the current interests (including any capital contribution that an entering partner agrees to as consideration for some of the current interests of the exiting partner, see [IS 25/11](#) at [191])

previous payment is the total consideration paid or payable to the exiting partner for other disposals of the partner's interests in the year prior to the disposal of the current interests

gross tax value is the total of:

- (i) the value of the current interests and other interests at the time the relevant interest is disposed of, to the extent that the interests are revenue account property or depreciable property, and
 - (ii) the market value of the current interests and other interests at the time the relevant interest is disposed of, to the extent that the interests are not revenue account property or depreciable property
- liabilities** is the amount of any liabilities at the time the interest is disposed of.

If the formula produces a result:

less than zero — the disposal payment is excluded income of the exiting partner and the exiting partner is not required to account for tax (s [CX 62](#))

greater than or equal to zero — the exiting partner is required to account for tax on any gain or loss on disposal of the interest.

See Example 8 in [IS 25/11](#) demonstrating the application of the de minimis rule.

QWBA [QB 14/02](#): “Income tax — entry of a new partner into a partnership — effect on continuing partners”, discusses the tax implications for continuing partners in a partnership when a partner sells their interest in a partnership. Inland Revenue (IR) considers that when a new partner simply “steps into the shoes” of an exiting partner and the continuing partners' interests in the assets of the partnership have not been changed, then no tax consequences should arise. However, there will be a taxable event for continuing partners if the addition of the new partner changes the continuing partners' interests in the partnership assets. In that case, the provisions of ss [HG 5–HG 10](#) will need to be applied.

Specific exemptions

A number of specific exemptions apply to the disposal of certain items of partnership property.

Trading stock — s HG 6

An exiting partner will not be required to account for tax on the disposal of trading stock if total turnover of the partnership is \$3 million or less in the income year of disposal. The entering partner will then step into the shoes of the exiting partner and take on the exiting partner's cost base for the trading stock. This applies even if the entering partner has paid market value for the stock, which could be more or less than the exiting partner's cost base.

Depreciable property — s HG 7

An exiting partner will also not be required to account for tax on disposal of an item of depreciable property with an original cost of \$200,000 or less. The exiting partner will not be entitled to claim any loss on disposal of the asset. The entering partner will not be entitled to any deduction in respect of the purchase price paid (ie the entering partner must take on the exiting partner's cost base regardless of the price paid).

However, the exiting partner will be entitled to a depreciation deduction in relation to the property up until the time of disposal. The entering partner will be entitled to depreciation deductions from the date of disposal. The amount of deduction allocated to each partner depends on their share in partnership's income.

Financial arrangements — s HG 8

An exiting partner will not have to account for tax on the disposal of a partner's interest to the extent that the interest includes a financial arrangement (or excepted financial arrangement) that satisfies the following criteria:

- # the financial arrangement (or excepted financial arrangement) was entered into for purposes necessary and incidental to the business of the partnership, and
- # the partnership does not derive income from a business of holding financial arrangements.

Where these conditions are satisfied, the exiting partner will not be required to perform a base price adjustment on disposal of the financial arrangement. Any consideration received by the exiting partner will be excluded income and the entering partner will not be entitled to any deduction in respect of their purchase price.

As with the depreciable property exemption, the entering partner will be treated as stepping into the shoes of the exiting partner from the date of disposal. If the change in partnership interest occurs part way through an income year, an apportionment of income derived from the financial arrangement may be required between the entering and exiting partners in the year of disposal.

In this regard it is interesting to note that s [HG 8\(3\)](#) appears to prevent the exiting partner from claiming any deduction in relation to the financial arrangement (ie no apportionment between the entering and exiting partners appears to be contemplated in the case of deductions). In contrast the equivalent section of the depreciable property exemption only prohibits the exiting partner from claiming a deduction to which the entering partner is entitled.

Short-term agreements for sale and purchase — s HG 9

Any disposal of a partner's interests comprising short-term agreements for sale and purchase (generally for property or services under which settlement must take place on or before the 93rd day after the agreement is entered into (s [YA 1](#))) will fall outside the general flow-through rule. No de minimis threshold applies to such disposals. The entering partner will take on the exiting partner's cost base for the agreement (regardless of the actual purchase price paid) and will not be entitled to a deduction for the purchase price paid. The exiting partner will not be assessed on income from the sale.

Livestock — s HG 10

The disposal of a partner's interests comprising certain specified livestock falls outside the general flow-through rule where the partners use the national standard cost scheme for specified livestock (s [EC 22](#)) or the cost price method for specified livestock (s [EC 25](#)).

Sections [HG 10\(2\)](#) and [EC 26B](#) provide that an entering partner may elect to spread any difference between the price they paid for specified livestock and the partnership's base cost when the partnership has breeding livestock. See *Tax Information Bulletin* [¶218-101 Vol 21, No 8](#), October/November 2009, Pt II at 152. The election is made by the entering partner furnishing a return of income that applies s [HG 10](#) (s [HG 3\(3\)](#)).

Small partnerships — s HG 3(2)

Small partnerships can elect to opt out of the specific exemptions from tax on disposal contained in ss [HG 5–HG 9](#). A "small partnership" is defined as "a partnership that is not a limited partnership and has 5 or less partners, none of whom are companies or partnerships".

Where a small partnership chooses to opt out of the disposal safe harbours, the exiting partner is then required to account for tax on the disposal of their partner's interests. This election can be made by filing a tax return that ignores the effect of the relevant sections.

Example:

Norah and her five children Sarah, Tommy, Kitty, Kevin and Justin operate a family business — The Walker Family Partnership — that manufactures and sells widgets.

Kitty decides to sell her share of the partnership to her Uncle Saul for \$195,000. The partnership assets at the time of sale consist of trading stock and a building. Kitty's gain on the sale of her share is \$55,000 calculated as follows:

	<i>Building</i>	<i>Trading stock</i>	<i>Total</i>
Cost	\$900,000	\$90,000	\$990,000
Tax book value	\$750,000	\$90,000	\$840,000
Market value	\$1,050,000	\$120,000	\$1,170,000
 Kitty's share of cost (1/6th)	 \$150,000	 \$15,000	 \$165,000
Kitty's sale proceeds	\$175,000	\$20,000	\$195,000
less Kitty's share of tax book value (1/6th)	\$125,000	\$15,000	\$140,000
Kitty's gain on sale	\$50,000	\$5,000	\$55,000
 Kitty's taxable gain	 \$25,000	 n/a	 \$25,000
Kitty's capital gain	\$25,000	n/a	\$25,000

In the year of disposal, the partnership's turnover was \$2m.

As Kitty's gain on disposal of her partner's interest is greater than \$50,000, the general de minimis exemption in s [HG 5](#) will not apply. However, the specific exemptions may still apply and will need to be considered in relation to each type of partnership asset disposed of.

As the building has a historical cost of more than \$200,000, the depreciable property exemption will not apply. Kitty will therefore be required to pay tax on \$25,000 being the taxable gain on sale of the building. Upon Uncle Saul's entry into the partnership, Uncle Saul's cost base will equal the portion of the purchase price attributable to the building.

As the partnership's turnover is less than \$3m, the trading stock exemption in s [HG 6](#) will apply. This means that Kitty will not be required to account for tax on the disposal of trading stock. Instead, effectively Uncle Saul will step into Kitty's shoes and acquire Kitty's interest in the trading stock. However, the effect of this is that Uncle Saul will acquire a cost base equal to Kitty's cost base in the trading stock even if he has paid a price based on market value that is higher than Kitty's cost base.

This example illustrates that as new partners enter a partnership the cost base of each partner's interest will change. Each partner may have a different cost base of assets in the partnership, which will not necessarily correlate with their respective partnership shares. It is therefore important to track each partner's cost base of their partnership assets.

Example adapted from PricewaterhouseCoopers 2008 Facts on Tax seminar series.

Law: IT07 ss [CX 62](#), [EC 26B](#), [HG 3\(2\)](#), [\(3\)](#), [HG 5–HG 10](#), [YA 1](#) (“[entering partner](#)”, “[exiting partner](#)”, “[small partnership](#)”)

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Tax administration and filing requirements [¶23-060]

[¶23-060]

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A partnership is only required to file a partnership return of income if it is a limited partnership registered under the Limited Partnerships Act 2008 or if it carries on business in New Zealand.

Regardless of whether a partnership is required to file a partnership return of income, the partnership will not be assessed in its own right. Rather, each partner will file their separate return of income and will be individually assessed on their share of partnership income.

If a New Zealand limited partnership is comprised solely of non-resident investors and derives only foreign sourced income, the partnership will be required to file a partnership return of income. However, as the partners are non-residents deriving foreign sourced income, the individual partners will not have any filing requirements. Only a partnership return of income would be required in these cases.

Only one set of records is required to be maintained by a partnership relating to all partners and all the firm's activities. Individual partners are not required to retain records, if the partnership retains the records for them.

Law: TAA ss [22\(4\)](#), [42](#)

Last reviewed on 31 December 2025

Avoidance involving partners [¶23-070]

[¶23-070]

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A specific anti-avoidance rule applies for partnerships where a partner of a partnership enters into a transaction for consideration that is greater than or less than market value and that has a purpose or effect of defeating the intent and application of the partnership provisions. Where this section applies, the transaction will be deemed to have taken place at market value.

Law: IT07 s [GB 50](#)

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Loss limitation rule [¶23-080]

[¶23-080]

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A loss limitation provision applies to limited partners in a limited partnership. It is intended to ensure that tax losses claimed by limited partners reflect the level of the limited partner's economic loss. General partners, on the other hand, are entitled to a full deduction for their share of partnership tax losses.

Under the loss limitation rule, a limited partner's "limited partnership deduction" is restricted to the tax book value of their investment in the limited partnership (referred to in the legislation as the "partner's basis").

"Limited partnership deduction" is defined as the deduction that a limited partner would otherwise have been allowed for partnership expenditure under the general flow-through provision in s [HG 2](#) or the loss carry-forward rule in s [HG 12](#).

A partner's basis is calculated using the following formula under s [HG 11\(3\)](#):

$$\text{investments} \# \text{distributions} + \text{income} \# \text{deductions} \# \text{disallowed amount}$$

where, generally:

investments is the total of the market value of capital contributions made by the partner to the limited partnership, including a loan by a limited partner to a limited partnership, along with any guarantees provided by the partner (or an associate of the partner) to the partnership and any amount paid by the partner as an entering partner for the assignment of an interest in partnership property

distributions is the total of the market value of distributions to the partner from the limited partnership, including an amount paid to an existing partner for the assignment of an interest in partnership property by them

income is the total of the partner's share of total income (including exempt and excluded income, and certain capital gains and certain FIF income or loss) received from the partnership in the current and preceding tax years

deductions is the total of the partner's share of partnership deductions and capital losses in previous tax years, and

disallowed amount is the amount of investments made by the partner within 60 days of the last day of the income year, if those investments are or will be distributed or reduced within 60 days after the last day of the income year.

The "disallowed amount" is essentially an anti-avoidance mechanism to exclude any investments made by the partner in the last 60 days of an income year that are subsequently withdrawn within the first 60 days of the following income year. This component of the calculation prevents partners artificially inflating their basis at the end of the income year to increase their allowable partnership tax loss deduction.

A limited partner will be entitled to a tax loss deduction for their share of partnership losses up to the value of their "basis". Any losses exceeding the amount of the basis may be carried forward to future income years. A deduction may be allowed in future income years subject to the general loss limitation rule.

Example:

The following example illustrates the operation of the loss limitation provision.

Assume the Tom & Jerry Limited Partnership derives business income in year one of \$200,000 and incurs allowable deductions of \$350,000 (resulting in a tax loss of \$150,000 for the year). In year two, the partnership derives business income of \$300,000 and incurs allowable deductions of \$250,000 (resulting in taxable income of \$50,000).

Tom invested \$60,000 of initial capital for a 50% share in the partnership.

Tom's basis in year one (assuming that no partnership distributions are made during the year) is calculated as follows:

Basis	=	Investments	#	Distributions	+	Income	#	Deductions	#	Disallowed amount
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\$160,000 = \$60,000 # \$0 + \$100,000 # \$0 # \$0

As Tom's basis is \$160,000, he will only be entitled to claim limited partnership deductions of \$160,000. Therefore, in year one Tom will return partnership income of \$100,000 and partnership deductions of \$160,000 (giving a net partnership loss for the year of \$60,000). The remaining \$15,000 of Tom's \$175,000 share of partnership losses will be carried forward to year two.

In year two, Tom's basis will be calculated as follows:

Basis	=	Investments	#	Distributions	+	Income	#	Deductions	#	Disallowed amount
\$150,000	=	\$60,000	#	\$0	+	(\$100,000	#	\$160,000	#	\$0
						+ \$150,000)				

Tom's limited partnership deduction in year two is \$140,000 (being his 50% share of year two deductions of \$125,000 plus deductions carried forward from year one of \$15,000). As Tom's basis is \$150,000, he will be entitled to claim the full partnership deduction of \$140,000. Therefore, in year two Tom will return partnership income of \$150,000 and partnership deductions of \$140,000, giving Tom net partnership income of \$10,000.

Also see Diagram 25 in [IS 25/11](#) for illustration of the rules.

Limited partner subsequently becoming a general partner

It is possible for a limited partner to become a general partner. To prevent the loss limitation rule being circumvented, the loss limitation rule also applies to general partners who:

- # were limited partners of the limited partnership within 60 days of the last day of the income year, and
- # are (or will be) limited partners of the limited partnership within 60 days after the last day of the income year.

Law: IT07 ss [HG 11](#), [HG 12](#)

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International issues for limited partnerships [¶23-085]

[¶23-085]

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Foreign partners of New Zealand limited partnerships

Under the flow-through tax treatment provided to partnerships, partners are taxed as if they had derived their share of the partnership's income directly. The effect of this is that non-resident partners are subject to New Zealand tax only on their New Zealand-sourced income.

Certain payments by partnership deemed to have New Zealand source

Section [YD 4\(17B\)](#) deems income to have a New Zealand source if, treating all partners of a partnership as New Zealand residents, the income would have had a New Zealand source under another provision of s [YD 4](#). If the deeming provision in s [YD 4\(17B\)](#) does not apply, the other source rules in s [YD 4](#) are unaffected. The deeming provision means that a New Zealand partnership may be required to deduct NRWT from amounts of non-resident passive income, regardless of whether some of the partners making those payments to non-residents are non-residents themselves.

Approved issuer levy and limited partnerships

Certain limited partnerships that borrow or lend money can elect to pay approved issuer levy in relation to a security for the purposes of the NRWT rules and exemption under a double tax agreement. See [¶30-310](#) for a discussion on the eligibility criteria.

Law: IT07 s [YD 4\(17B\)](#)

Last reviewed on 31 December 2025

Partnership returns [¶23-100]

[¶23-100]

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Note: The Taxation (Annual Rates for 2025–26, Emergency Response, and Remedial Measures) Bill proposes an amendment to align how partnerships with non-standard balance dates return income with the method for applying for the Research and Development Tax Incentive (RDTI). Partnerships with an RDTI credit for an income year would be required to apportion income according to the partner's balance date when returning partnership income for that year.

For taxation purposes, a partnership is required to register with the IR. Upon receipt, IR issues a tax file number and may require the partnership to register for GST ([¶23-110](#)). In contrast to a company, a partnership is not a taxpayer in its own right. Although a partnership does not actually pay tax, it does have to file a return of income showing the income jointly derived from the partnership, how that income has been divided between the partners and a summary of the deductions allocated to each partner that relate to the income. In other words, the partnership files a return of net income for information purposes only. Even if the partnership has made a tax loss for an income year, a return of income must be filed to show whether the business had income for the year and how that result was calculated. See *C of IR v Grover* ([1988](#)) [10 NZTC 5,012 \(CA\)](#). For these purposes, the partnership should complete form IR7. That return of income form should be accompanied by a copy of the firm's financial statements.

Legal position of partnerships

General partnerships are not legal entities, meaning they have no existence separate from the individual partners that comprise them. Ownership of the partnership assets vests in each partner in accordance with the contract between them. Partners have joint and several liability for the liabilities of the partnership, although they may vary the sharing of those liabilities among themselves. This general legal position is followed by the tax system, with each partner being assessed on their proportionate share of partnership income as if it were derived directly by the individual partner and the deductions allowed to that partner in respect of that income. Various sources of income (such as interest and dividends) retain their character in the individual partner's hands.

Summary

The tax position of general partnerships was summarised by Richardson J in *Hadlee and Sydney Bridge Nominees Ltd v C of IR* ([1991](#)) [13 NZTC 8,116 \(CA\)](#) at 8,126:

New Zealand tax legislation does not isolate partnership income as a separate source of income. In New Zealand law a partnership is not a separate tax entity. It is not a "taxpayer" and partners make a return of partnership income only for the purpose of providing information on which their separate incomes are calculated. The gross income is derived by the partners jointly and the partners severally claim the deductions to which they are entitled as taxpayers in terms of the legislation.

This approach is formalised in s [HG 2](#) of the IT07 and s [42](#) of the TAA.

Different balance date

A partner may have a different balance date from the partnership. For example, the partner may have the standard 31 March balance date and the partnership one of 30 June. The general rules for the approval of balance dates will apply to partnerships ([¶12-055](#)). Although the introduction of a new partner or retirement of an existing partner creates a new partnership, the anniversary date of the introduction of a new partner will not be allowed as a new balance date.

Where a partnership has a non-standard balance date, its partners may elect, in their tax return, to include their share of the partnership income in the same corresponding income year as the partnership (s [42\(3\)](#) of the TAA). The election only applies to the specific partnership income and no other transactions of the partner.

Where a partner makes an election, it cannot be switched year on year and remains in force until either the partnership changes its balance date or the partner exits the partnership. Another option for a partner is to apportion the partnership income to their income tax year. See Example 45 in *Tax Information Bulletin* [1375-102 Vol 37, No 5](#), June 2025 at 117 and Example 7 in [IS 25/11](#) at [149].

Returning partnership income

To meet the invoicing requirements of the Accident Compensation Corporation, partnership income should be analysed and returned by the individual partners as follows:

- # partnership income derived from the partnership's trade or business that is a result of the partner's active involvement
- # interest and any resident withholding tax (RWT)
- # dividends and any credits
- # overseas income and overseas tax paid
- # rental income, and
- # other income (ie income received as a sleeping partner or income generated from other investment activity of the partnership).

In effect, this divides the partnership income into its active and passive components so that ACC levies are calculated only on the active income.

Law: IT07 s [HG 2](#); TAA s [42](#)

Last reviewed on 31 December 2025

GST and partnerships [¶23-110]

[¶23-110]

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Even though, for general law purposes, a partnership is not a separate entity, for GST purposes, a partnership is required to register as a single unincorporated body if supplies exceed the threshold for registration. All members of the body are jointly and severally liable for the tax payable by the body. The liability of members for tax payable for taxable periods during which they were members remains even if they are no longer members of the body. A member will not stop being a member until the date the Commissioner receives written notice of the change in membership.

One consequence of the rules for registration is that the collective purpose of the partnership may be separate from that of the individual members of the partnership. For example, in Case S41 (1995) 17 NZTC 7,280, partners in a professional partnership were considered to be making a supply on behalf of the partnership when committing the partnership to lease commercial premises. Accordingly, the partnership had to account for output tax on the resulting lease inducement payment.

Transfer of an interest

QWBA [QB 14/03](#), “GST — transfer of interest in a partnership”, considers the GST consequences on the disposal of a partner’s share in a partnership. The Commissioner’s view is that a disposal or transfer of a partner’s interest in a partnership will not be subject to GST unless the partner is GST-registered, and the transfer of their interest occurs in the course or furtherance of a taxable activity that the partner carries on in their own right. In addition, the interest in the partnership must not be a “participatory security” or an “equity security”. A transfer will be an exempt supply and, therefore, not subject to GST if the partnership interest is a “participatory security” or an “equity security”. Generally, a partnership interest will be a “participatory security” where entry into the partnership involves an investment of money (or money’s worth), and where the partnership has more than 5 partners (or a manager (or person associated with the manager) who also manages another such arrangement). A partnership interest will be an “equity security” where the partnership is a body corporate (eg a limited partnership registered under s [51](#) of the Limited Partnerships Act 2008).

GST treatment of partnership capital contributions

QWBA [QB 16/04](#), “GST treatment of partnership capital contributions”, considers the situation when a new or existing partner in a partnership contributes capital to the partnership, as opposed to transferring an interest to an individual partner (covered in [QB 14/03](#) above). The item concludes that a GST-registered partnership is not required to account for output tax on a capital contribution made by a partner. If there is any supply of goods and services in return for the capital contribution, then it is a supply made by a partner or partners, not the partnership. The transfer of a partnership interest by an existing partner is the supply of a service, namely a chose in action consisting of a fractional interest in the future profits of the partnership business and in any surplus of assets over liabilities on winding up. Where a partnership capital contribution is made in return for the transfer of a partnership interest from an existing partner, the supply of the partnership interest is made by the existing partner in their capacity as a partner. The partnership interest is not supplied by the partnership.

The item states that the deeming provisions in s [57\(2\)\(b\)](#) and [\(c\)](#) do not apply. That is, the supply of a partnership interest by a partner in return for a capital contribution is not deemed to be made by the partnership for GST purposes. This is because the supply of the partnership interest will not have been made in the course of the partnership’s taxable activity. Consequently, no GST is charged by the partnership on the supply of a partnership interest that is transferred in return for a partnership capital contribution.

Law: GST ss [3\(2\)](#) (“equity security”, “participatory security”), [11\(1\)\(m\)](#), [57](#)

Last reviewed on 31 December 2025

Death of a partner [¶23-115]

[¶23-115]

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When a partner in a partnership dies, the transfer of the partner's interest in the partnership assets to the administrator or executor of the estate is treated as having been made at market value immediately before the date of death. Also, when a distribution is made of the deceased partner's interest in the partnership assets by the administrator, executor or trustee of the deceased partner's estate to the final beneficiary, the distribution is treated as having been made at market value on the date on which the distribution is made. There are exceptions to both of these rules for certain property transferred to a spouse, civil union partner or de facto partner or to a person related to the deceased partner within the second degree of relationship. There is also an exception to the market value rule for the transfer of the deceased's partnership assets on final distribution of the estate for simple estates ([¶25-660](#)).

GST and death of a partner

When a partner in a GST-registered partnership dies, the executor of the deceased estate steps into the shoes of the deceased partner as a "specified agent" for GST purposes. Within 21 days of the date of the death of the partner, the executor is required to notify IR of their appointment as a specified agent. GST returns should continue to be filed by the partnership on the basis that any change of members within the partnership has no effect for GST purposes.

The GST consequences of what occurs after the executor is appointed will differ depending on whether the partnership continues in a reconstituted form or ceases altogether. If the partnership continues in a reconstituted form (ie with one less partner, or with a change in partner), there are no GST consequences. Any change of members within the partnership has no effect for GST purposes.

If the partnership is not reconstituted and the partnership ceases, there is a supply for GST purposes from the partnership to all partners (ie the estate beneficiary and the other partner(s)) on the dissolution of the partnership.

Generally, a supply between associated persons is deemed to take place at market value. However, in cases where the partnership assets are transferred to a person associated with the partnership for no consideration (eg if the recipient acquired the deceased partner's share of the partnership assets under a will), it is possible that there will be no GST consequences on the transfer for either the partnership or the recipient. If the transfer takes place:

- # while the partnership is GST-registered, and
- # to a GST-registered recipient who acquires the assets for the principal purpose of making taxable supplies,

the supply is not deemed to take place at market value. The result is no input tax credit for the recipient and no output tax for the partnership. This special GST rule was introduced to preserve the intended revenue-neutral effect of a supply of goods and services between 2 registered associated persons when the goods or services are applied in the recipient's taxable activity from the time of supply.

Once all of the partnership assets have been transferred, the partnership can deregister for GST.

Law: IT07 ss [FC 1–FC 4](#), [FZ 6](#); GST ss [2A](#), [5\(3\)](#), [10\(3\)](#), [\(3A\)](#), [\(3AB\)](#), [\(7A\)](#), [58](#)

Last reviewed on 31 December 2025

Utilisation of losses by partners [¶23-120]

[¶23-120]

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If a general partnership has made a loss, each partner may be able to utilise their share of that tax loss against taxable income from other sources. Should the partner be unable to fully absorb the tax loss against other income, the loss balance may be carried forward and used against income from later income years. A partner's share of a general partnership loss is not necessarily limited to the amount of capital contributed. It may be the partner's share of the partnership's total tax loss if the partnership agreement so provides. See [¶23-080](#) for the loss limitation rule in limited partnerships.

Example:

A taxpayer was a partner in a partnership producing motion pictures. Her capital contribution was £10,000 and her share of the partnership loss for the first year was £41,144. The court held that the loss the taxpayer might offset against her other income was her share of the partnership loss determined according to the partnership agreement. Her loss offset was not limited to capital contributed. See *Reed v Young* [1984] BTC 424.

Law: IT07 ss [IA 1–IA 4](#)

Last reviewed on 31 December 2025

Partnerships and deductions [¶23-125]

[¶23-125]

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For the purposes of the partnership's tax return, net income is computed in the same way as for an individual, ie annual total deductions are offset against annual gross income, giving rise to either a net income or a tax loss figure ([¶1-090](#)). However, unlike an individual who may carry a resulting loss balance forward to be used against future net income, the partnership may not do so ([¶23-080](#)). Certain expenditure incurred by a partnership is closely scrutinised by IR, as some payments may be seen as simple profit-sharing arrangements. The general deduction provisions of subpart [DA](#) are applicable ([¶23-128–¶23-136](#), [¶23-142](#) and [¶23-144](#)).

Last reviewed on 31 December 2025

Partnership deductions — insurance premiums [¶23-128]

[¶23-128]

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No deduction is permitted for insurance premiums payable on policies insuring the life of each partner when the proceeds are to be used as the means of buying out the deceased partner's share. The premiums are regarded as non-deductible capital expenditure, since they are to facilitate the purchase of an asset — a share in the partnership. Another common insurance policy taken out by partners is one that insures against the death or disablement of any partner. The policy may be taken out by the partnership, or by a partner, and the benefits assigned to the partnership, so that the proceeds become payable to the partnership. The Commissioner's view is that these policies are capital in nature. The policies relate to the protection or enlargement of the partnership's income-producing assets and not to the production of partnership profits.

Tax implications

Consequently, when a partnership takes out life or accident policies on the lives of its partners, there are certain tax implications:

- # No deduction is allowed for premiums paid by a partnership. The premiums relate to the eventual enlargement of the partnership's income-producing assets, and not to the production of profit, and are consequently capital in nature.
- # Any proceeds received under the policy are a capital receipt in the hands of the partnership.
- # On the death of a partner, their share of any proceeds under the policy is included in their partnership assets that form part of the estate for administration.
- # Any payment of the proceeds by the partnership to a deceased partner's spouse, civil union or de facto partner, child, family trust or estate is not allowed as a deduction.

Last reviewed on 31 December 2025

Partner misappropriation [¶23-130]

[¶23-130]

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A person carrying on a business in partnership is allowed a deduction for any amount paid to make good a loss that another person (who is not a partner in the partnership or the spouse or civil union or de facto partner of a partner) suffers because of the misappropriation of property by a partner. The person must be under a legal liability to make good the loss. The provision also does not apply if the person or the person's spouse or civil union or de facto partner misappropriates the property. The deduction is allowed in the year of payment.

It is not necessary for the person to make the payment directly to the property owner. Any reimbursing payment made to an insurance office or indemnity fund that had previously made good the loss is allowed as a deduction.

If the amount that was previously allowed as a deduction is recouped by way of insurance, indemnity or otherwise, this amount is, to the extent of the deduction, income derived by the person in the year of receipt. See *Tax Information Bulletin* ¶62-105 Vol 6, No 2, August 1994 at 3 and s [CG 4](#).

Law: IT07 ss [CG 4](#), [DB 43](#)

Last reviewed on 31 December 2025

Salary of partner [¶23-132]

[¶23-132]

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Under general law, a partner who works for the partnership does so in the capacity of partner and not as an employee. Any remuneration paid by the partnership for that work is by way of drawings and not as salary or wages. A partnership, therefore, may not claim a deduction for tax purposes for “wages” paid to a working partner. See Case F123 (1984) 6 NZTC 60,157 and Case L28 (1989) 11 NZTC 1,172. However, a deduction, subject to the exclusion, is allowed for payments (treated as salary or wages) made by a partnership to any working partner for services performed under a written contract of service, including any bonus. A “working partner” is a partner who personally and actively performs any of the duties to be performed in carrying on the partnership business (s DC 4(1)). Note, where this section applies the partnership is treated as opaque — not transparent (s DB 4(4B)).

A “contract of service” is an agreement that satisfies all of the following criteria:

- # the terms and conditions of the services to be performed by the partner are specified in the agreement
- # the amount payable to the partner for the performance of the services is specified in the agreement, and
- # the agreement is in writing and is entered into by all the partners in the partnership.

With respect to the deduction for any bonus paid, a deduction will still be allowed to the partnership for this payment whether or not it is authorised by the contract.

Note no deduction is available for a partnership that is engaged wholly or mainly in investing money or in holding, or dealing in, shares, securities, investments, or estates or interests in land (s DC 4(2)).

Since the partnership is paying salary, the payments are subject to the PAYE rules, ie the payments are included in the definition of “salary or wages”. Similarly, the payments are “earnings as an employee” for accident compensation levy purposes. No FBT liability arises where fringe benefits are provided to salaried partners who are treated as employees for tax deduction purposes; rather, the cost of providing the benefit is non-deductible to the extent of the private use element.

Accident compensation levies

Active partners are liable to pay Accident Compensation Corporation (ACC) levies on their total share of partnership income. Salaries paid to working partners are included in the definition of “salary or wages” and as such are PAYE income payments. PAYE income payments are included in the definition of “earnings as an employee”, which means that the partnership must deduct the ACC levies with the PAYE on the payment of the salary or wages to the partner and account for the work account levy on the salary or wages using the classification that reflects the business activity of the partnership.

Sleeping partners (ie partners whose involvement is limited to the investment of capital, without taking any part in the management or day-to-day running of the business) are not liable for ACC levies on their share of the partnership income. This is because such income is not dependent on the person’s personal exertions and so does not amount to “earnings as a self-employed person”. See *Tax Information Bulletin* ¶133-106 Vol 13, No 3, March 2001 at 17. However, they remain liable to account for ACC levies on wages paid to partnership staff.

See Chapter 31 for a more comprehensive discussion of ACC levies and the Accident Compensation Act.

Pensions paid to former partners

A deduction, subject to the exclusion below, is allowed for a reasonable amount of pension paid to a former partner or the surviving spouse, civil union or de facto partner of a former partner in a partnership, under a

deed providing for a pension for a fixed period, life or remarriage of the surviving spouse or partner (s [DC 3\(3\)](#)). Where this section applies the partnership is to be treated as opaque — not transparent (s [DC 3\(3B\)](#)).

Note no deduction is available for a partnership that is engaged wholly or mainly in investing money or in property, equities or other securities (s [DC 3\(2\)](#)).

Law: IT07 ss [DC 3](#), [DC 4](#), [RD 5\(3\)](#)

Last reviewed on 31 December 2025

Rent paid to partnership [¶23-134]

[¶23-134]

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An anti-avoidance provision applies to ensure that the amount of rent paid by a relative of a partner or a related company to a partnership is “adequate rent”, and for such a transaction the partnership treated as opaque (s [GC 5\(2\)\(d\)](#)). An adequate rent is an amount that the Commissioner determines to be adequate for the relevant property (generally, a market rent). That amount is deemed to have been payable for the period specified in any relevant lease agreement or, if no rent is payable under the lease, for each day of the lease term on a pro rata basis.

The amount of deemed rental is income derived by the partnership. The Commissioner has issued a public binding ruling, [BR Pub 06/02](#), “Section [GD 10](#) [of the Income Tax Act 2004] — rent deemed to be payable by the lessee”, which concludes that a corresponding deduction will be allowed to the lessee in terms of the general permission. The ruling applies for an indefinite period to leases entered into on or following 1 February 2006.

Law: IT07 ss [DB 59](#), [GC 5](#)

Last reviewed on 31 December 2025

Deductibility for partnership of interest paid to partner [¶23-136]

[¶23-136]

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The proper tax treatment of interest paid on capital contributed by a partner depends upon the sort of capital involved. This is because, under partnership law, only certain sorts of capital contributions are entitled to payment of interest. Section 47 of the Partnership Law Act 2019 provides that a partner is not entitled to interest on capital subscribed by them apart from interest at 5% pa (subject to any agreement between the partners) on any actual payment or advance beyond the capital that they have agreed to subscribe.

The Commissioner does not allow the partnership any deduction for interest paid on the partner's initial capital contribution. The Commissioner treats any such payment of "interest" as a distribution of profits and as not having the character of interest in the hands of the partner.

The Commissioner does allow the partnership a deduction for any interest paid on any loan or advance made to the partnership over and above the partner's initial capital contribution. For this purpose, a loan or advance also extends to any partnership profits that the partner has not drawn out but has left in with the partnership. The rate of interest that the partnership might pay can exceed the statutory 5% (s 47 of the Partnership Law Act 2019), if the parties agree otherwise. Moreover, since any such payment is recognised as truly a payment of interest, it retains that character in the hands of the partner.

Public rulings on interest deductibility for partnerships

The Commissioner has issued a series of public rulings applying the principles set down in the Australian decision *FC of T v JD Roberts; FC of T v Smith* 92 ATC 4380 (known as *Roberts* and *Smith*) to the deductibility of interest under s DB 6. In *Roberts* and *Smith*, interest on borrowings raised by a partnership to repay partnership working capital was allowed as a deduction, even though the repayment was able to be used by a partner to fund private expenditure. The character of the refinancing was the same as the original borrowing, which was that of the provision of working capital. It was held that the interest was deductible even though the borrowed funds were not used directly in deriving income. Capital contributions, past years' profits and debt were all considered capable of being replaced and repaid in this way. The case only applies where the amount replaced and repaid is owed to a person separate to the business, like a partner in a partnership or a shareholder of a company.

In [BR Pub 15/04](#), "Interest deductibility — funds borrowed by a partnership to return capital contributions to a partner", the Commissioner allows a deduction for interest in respect of funds used by a partnership to return capital to partners who previously invested that capital. Any partner's share of the interest is deductible by that partner to the extent that the partner's capital contribution was used directly in the partnership's business or used to repay borrowed funds on which interest was deductible. That interest is not deductible to the extent that the borrowed funds are used by the partnership to pay current year income to the partner or are purported to be used to make a payment out of unrealised asset revaluations or internally generated goodwill.

In [BR Pub 15/05](#), "Interest deductibility — funds borrowed by a partnership to return past years' profits to a partner", the Commissioner allows a deduction for interest in respect of funds used by a partnership to pay profits to partners, but only to the extent that the profits are past years' profits that were used directly in the partnership's business, or used to repay borrowed funds on which interest was deductible. That interest is not deductible to the extent that the borrowed funds are used by the partnership to pay current year income to the partner or are purported to be used to make a payment out of unrealised asset revaluations or internally generated goodwill.

In [BR Pub 15/08](#), "Interest deductibility — funds borrowed to repay debt", the Commissioner allows a deduction for interest in respect of funds used by a partnership to repay borrowed funds to a person who invested those funds in the partnership in certain specified circumstances.

The rulings apply for an indefinite period from 24 May 2015.

Law: IT07 s [DB 6](#); PL s [47](#)

Last reviewed on 31 December 2025

RWT on interest paid to a partner [¶23-138]

[¶23-138]

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Interest paid to a partner for a loan or advance is subject to RWT if the partner is a non-exempt recipient. A partnership carrying on an activity in New Zealand will generally be liable to deduct RWT from a payment of interest. A partnership is not liable to deduct RWT from interest paid when, although it does not have RWT-exempt status at the time of payment:

- # it has made payments of resident passive income, being interest, totalling \$5,000 or less (before 1 April 2020, less than \$5,000) in the year immediately preceding the year in which the time of payment falls, and

- # the payment, when aggregated with earlier payments of resident passive income, being interest, paid by the partnership in the year in which the time of payment falls, does not exceed \$5,000.

This means that when a partnership pays interest to a partner, it must consider whether it paid more than \$5,000 interest in the previous year, and whether the total amount of interest paid in the current year (including the payment being made) will exceed \$5,000. If so, it must deduct RWT from the payment being made ([¶15-080](#)).

See [¶15-160](#) for commentary on the RWT-exemption status for limited partnerships.

Law: IT07 ss [RE 4](#), [RE 10](#)

Last reviewed on 31 December 2025

Husband and wife, de facto or civil union partners in partnership [¶23-140]

[¶23-140]

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A business carried on by a husband and wife, de facto or civil union partners in partnership does not need to be carried on under a deed of partnership. The determination of whether the spouses or partners are carrying on a business as partners is based on the facts of each case.

Example:

The Taxation Review Authority held that a husband and his wife were equal owners and partners in respect of a rental property. Rental losses that were attributed solely to the husband were therefore reallocated to be shared equally between the couple for tax purposes. Both taxpayers were jointly liable under the mortgage, both were ratepayers on the valuation roll and 100% allocation of the losses could be viewed as self-serving from a taxation point of view. See Case S2 [\(1995\) 17 NZTC 7,012](#).

Example:

A married couple objected successfully to an assessment when the Commissioner failed to establish that a partnership existed between the couple and the family trust. See *Mathieson (IF) Trust Partnership v C of IR* [\(1997\) 18 NZTC 13,286](#).

Last reviewed on 31 December 2025

Partnership employing relatives [¶23-142]

[¶23-142]

[Click to open document in a browser](#)

Family partnerships between husband and wife, civil union partners, de facto partners, or between parent and child(ren) may be a convenient way of reducing tax liabilities. However, the Commissioner is authorised to reallocate, for tax purposes, excessive salary or excessive shares of profits or losses. In determining whether the remuneration or share in profits is reasonable, the nature and extent of the services rendered, the value of the partners' contributions to capital or provision of services and any other relevant matters are taken into consideration. The following are a range of situations in which the Commissioner may make an allocation in the case of a partnership:

- # a partnership employs a relative of one of the partners or, when the partner is a company, employs a relative of a director or shareholder of the company to perform services in connection with the partnership business
- # a business is carried on in partnership with a relative or with any company and a director or shareholder is a relative of a partner in the partnership, or
- # a company carries on business in partnership with a relative of a director or shareholder of the company.

If the Commissioner considers that the remuneration, salary, share of profits or other income payable for the benefit of the relative or company is unreasonable or the share of losses to be borne by the relative or company is unreasonable, the Commissioner may reallocate the income or losses of the business in such shares or proportions as they consider reasonable. Any amount so allocated is deemed to be income derived or a loss incurred by the person to whom they are so allocated. In cases where an amount paid by a company to a relative of a director or shareholder is allocated to the company, the amount so allocated will be deemed to be a dividend paid by the company and derived by the relative.

Example:

Amounts paid to a taxpayer's 5-year-old son for services provided to his father's building business were held to be excessive under s 106 of the Land and Income Tax Act 1954 (s [GB 23](#)). Judge Barber held that it was unreal to regard the child as providing services to his father's building business for which it was appropriate for him to receive wages. Case L64 [\(1989\) 11 NZTC 1,374](#).

Example:

A husband and wife were partners in an insurance consultancy partnership. The deed of partnership provided for the husband to receive a two-thirds share of the partnership income arising from the commissions. The Taxation Review Authority held that the deed of partnership was a bona fide contract of partnership since the allocation of profits correctly reflected each partner's contribution of capital and services. Case M65 [\(1990\) 12 NZTC 2,368](#).

QWBA, [QB 14/09](#), "Income Tax — Meaning of 'Excessive Remuneration' and 'Excessive Profits or Losses' Paid or Allocated to Relatives, Partners, Shareholders or Directors" poses the question "when is a payment of remuneration or allocation of profits or losses is considered to be excessive for the purposes of ss [GB 23](#) to [GB 25B](#)". With respect to partnerships, IR concludes that any remuneration, profits or losses will be considered excessive where:

- # the amount paid is more than a reasonable reward for the services provided by a relative
- # the share of partnership profits or losses exceeds the value of the contributions made by the partner.

The Commissioner considers an amount of remuneration is "reasonable" if it is appropriate or fair for the services provided. The item states the following criteria the Commissioner will consider for determining a reasonable payment for services rendered:

- # The nature of the services and the circumstances in which they will be or are performed.
- # The knowledge and skills required to carry out the services, including any particular qualifications.

- # The amount of payment that the person carrying out the duties would be paid by another independent employer for like services.
- # The locality where the duties are being performed.
- # The amount the taxpayer would be prepared to pay an arm's length employee undertaking similar duties.

With regard to the allocation of partnership income and losses, the item states that where there is no partnership agreement, partnership profits and losses should be divided equally between the partners following the presumption under s [45](#) of the Partnership Law Act 2019 (Case S2 [\(1995\) 17 NZTC 7,012](#)).

When considering whether a partner's share of profits or losses is excessive, the Commissioner may also take into account the capital contributions of the partners as shown in any agreement, including when a partner has made assets available to the partnership. This may include taking into account any payments received for the use of these assets. The Commissioner may also consider services provided by each partner, including responsibilities undertaken, special skills or expertise, work done, and time spent on partnership business (Case B45 [\(1976\) 2 NZTC 60,394](#)). Where there is a genuine contract of partnership under s [GB 24\(2\)](#), the Commissioner cannot reallocate any amounts attributed to the partners (Case M65 [\(1990\) 12 NZTC 2,368](#) and [¶23-144](#)).

Law: IT07 ss [GB 23](#), [GB 24](#)

Last reviewed on 31 December 2025

Exception for genuine contracts [¶23-144]

[¶23-144]

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On the face of it, s [GB 23](#) would appear to grant to the Commissioner very broad powers to control the level of remuneration paid to relatives ([¶23-142](#)). However, there is an important exception to the effect that the Commissioner may not rely upon these powers when the parties are employed under a genuine contract of employment or there is a genuine contract of partnership. For these purposes, a genuine contract of employment or partnership is one in which:

- # the contract is in writing and is signed by all of the parties to it
- # all of the parties are aged 20 or more at the time of signing
- # the contract is binding for at least 3 years (except for death, bankruptcy or dissolution by the court in the case of a partnership contract)
- # each party to the contract has real and effective control of the income to which they are entitled under the contract
- # each party to a partnership contract has real and effective control or liability for their share of profits or losses respectively under the contract, and
- # no part of the income or share of profits of the relative is a disposition for inadequate consideration.

Should the contract fail to be regarded as genuine, the Commissioner may reallocate the remuneration or share of profits paid under the agreement ([¶23-142](#)).

Law: IT07 s [GB 24](#)

Last reviewed on 31 December 2025

Financial arrangements rules and partnerships [¶23-148]

[¶23-148]

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No base price adjustment is triggered solely by the reconstitution of partnership interests. This is because an interest in a partnership is an “excepted financial arrangement”. As such, the transfer of a partnership interest is excluded from the financial arrangements rules.

The rules for determining the tax treatment of financial arrangements included in the disposal of a partnership interest are set out in s [HG 8](#) (¶23-050).

Law: IT07 s [EW 5\(11\)](#)

Last reviewed on 31 December 2025

Distinction between joint venture and partnership [¶23-152]

[¶23-152]

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It is important to distinguish between a partnership and a joint venture as the 2 entities are taxed differently and file different income tax returns. No joint return of income is required by persons other than partners. Therefore, each member of an unincorporated joint venture files its own income tax return, and there is no joint tax return.

Perhaps the most important distinction between a partnership and a joint venture is that a partnership is an association of persons who engage in a common undertaking for profit, whereas a joint venture is an association of persons who engage in a common undertaking to generate a product to be shared among the participants. See *United Dominions Corporation Ltd v Brian Pty Ltd* (1985) 60 ALR 741 at 750.

In an article entitled “Partnership — Joint Ventures and Taxation” by MJ Walsh (December 1978/January 1979 issue of *Taxation in Australia* at 481), a joint venture is described as “a relationship between two or more parties formed for a particular commercial transaction or transactions, the product of which will be taken by the joint venturers in such shares as may be mutually agreed between them and disposed of by them individually at such times as the venturers may individually determine”.

A joint venture can be treated as a partnership for tax purposes if all of the joint venturers elect to be treated as a partnership.

Law: TAA s [42\(4\)](#)

Last reviewed on 31 December 2025

Assignment of interest [¶23-160]

[¶23-160]

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Assignment of income from a partnership to another family member or entity with a lower marginal tax rate has often been employed as a tax minimisation technique. However, most of these assignments have failed, mainly for 2 reasons. First, any attempt to assign the profits of a partnership is an assignment of future income that crystallises only after the income has been earned and derived. Therefore, any assignment of that income will be ineffective to shift the liability for tax on that income. Secondly, income from a partnership, particularly a professional one, arises from the rendering of personal services, and the derivation and assessment of this income is attributable to the person whose services result in the earning of that income.

Australia

In the Australian decision *FC of T v Everett* [80 ATC 4076](#), the taxpayer was a partner in a firm of solicitors and, for a consideration of \$3,832, he assigned to his wife (also a solicitor) six-thirteenths of his share in the partnership “together with all those rights including the right to receive an appropriate share of the profits of the partner to which an assignee ... is entitled by virtue of Section 31 of the Partnership Act 1892” (at 4,078). For the income year ended 30 June 1973, the taxpayer’s share of profits from the firm was \$35,418 and the firm paid \$11,185 of it to the taxpayer’s wife. The Commissioner assessed both the taxpayer and his wife on the whole of the amount that had been paid to her. The Supreme Court of New South Wales, the Federal Court of Australia (by a 2:1 majority) and the Full Court of the High Court of Australia (by a 4:1 majority) upheld the effectiveness of the assignment.

High Court

The Australian High Court held that the assignment of the partner’s share gave the recipient an immediate right to the future partnership income arising from that share, and that the partnership income was derived from the partner’s share in the partnership and not from his personal exertions. However, this decision runs contrary to a number of New Zealand decisions, notably *Kelly v C of IR*; *Freed v C of IR* [1970] NZLR 161 where it was held that an assignment of income was ineffective where it was a mere income-splitting device in favour of a related party. See *Johnstone v C of IR* [1966] NZLR 833 and *Spratt v C of IR* [1964] NZLR 272 where Henry J made the obiter remark that no taxpayer could by way of assignment escape assessment of tax on income resulting from his or her personal activities because such income always remains his or her income irrespective of the method used to dispose of it.

New Zealand

In New Zealand, the Privy Council affirmed a Court of Appeal decision that an assignment by a partner of part of his rights in a professional partnership is ineffective in transferring the tax liability on the partnership income. In *Hadlee and Sydney Bridge Nominees Ltd v C of IR* [\(1993\) 15 NZTC 10,106 \(PC\)](#), the taxpayer was a partner in an accounting firm where the partnership agreement provided for profits to be given to partners in proportion to the number of units of partnership capital held by them. The taxpayer owned 32 of the 452 units and he assigned 12.8 (40%) of these units to a family trust in return for covenants by the assignee and a sum of \$16,299. One-twentieth of this amount was payable in cash, with the balance due on demand in writing and 6% interest payable in the meantime. If the assignment had been effective, there would have been significant tax savings as trust income would have been assessed at a lower level.

High Court

In the High Court [\(\(1989\) 11 NZTC 6,155\)](#), it was held that the taxpayer remained personally assessable for tax on the whole income, the assignment was of future property or an expectancy and passed income to the assignee through the conduit of the partner. The High Court also held that income from personal services or

exertions was incapable of assignment for income tax purposes and that the assignment was void under s 99 of the Income Tax Act 1976 (s [BG 1](#) of the IT07), the general anti-avoidance provision.

Court of Appeal

In the Court of Appeal (([1991](#)) 13 NZTC 8,116), the Court upheld the second of the 2 grounds advanced by the High Court but disagreed with the first. The Court held that there had been a valid equitable assignment of an expectancy for value; when the subject matter came into existence, the beneficial interest vested in the assignee immediately. The principle being that when property comes into existence, equity, treating that as done that ought to be done, fastens upon the property and the contract to assign becomes in equity a complete assignment. New Zealand law, therefore, takes a tougher stance than in Australia, where the *Everett* decision allowed an assignment of part of a partnership share by a solicitor to his wife. It must also be noted that the decision was made under the influence of policy considerations. In relation to employment income, the whole PAYE structure proceeds on the premise that income of that kind is derived by the employee concerned. The statutory scheme did not allow for the possibility of diversion of that income before its derivation by the employee. If such conclusions applied to the income of salary and wage earners, they must equally apply to the earnings of the self-employed from their personal exertions since the character or quality of the income that arises is the same in either case.

Privy Council

The Privy Council found that the taxpayer had not assigned, and could not assign, a proprietary interest. The taxpayer did not have title to specific partnership property but had a beneficial interest in all and each of the assets. This interest was enforceable against his co-partners to the extent of seeing that the partnership assets were used for the benefit of the partnership, but he could not assign it to a non-partner. This beneficial interest was in the nature of a future interest taking effect in possession on (and not before) the determination of the partnership. The deed of assignment was ineffective to transfer the tax liability for the income assigned to the assignee. The income that accrued to the assignee did not flow from a capital asset that was capable of assignment but from the performance of the taxpayer's obligations under the partnership contract. The Privy Council agreed with the comments of the Court of Appeal that the person whose personal exertion earned the income, whether a salary and wage earner or a professional, derived that income and paid the tax. It was considered unnecessary to deal with the construction of s 10 of the Income Tax Act 1976 (now s [HG 2](#) of the IT07 and s [42](#) of the TAA) and its effect on the assignment of a share in a partnership; nor was there any ruling on whether the arrangements fell within the ambit of s 99 of the Income Tax Act 1976 (s [BG 1](#)). See also Case S4 ([1995](#)) 17 NZTC 7,021.

Last reviewed on 31 December 2025

Application of anti-avoidance provisions [¶23-175]

[¶23-175]

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It is necessary to consider which provisions of the IT07 affect an assignment of a share in a partnership, including ss [BG 1](#) and [GA 1](#) — the general anti-avoidance provisions. Features of an arrangement that will indicate to IR that an assignment amounts to tax avoidance include the following:

- # the transfer of income or property is for a short term
- # the arrangement has little real effect on business income or earning activity
- # the transaction cannot be described as an ordinary family or commercial transaction
- # a high degree of control over the earning of income or the disposition of the property is a part of the arrangement, and
- # there is a close family or business relationship between parties to the transaction.

Interpretive guidelines have been developed by the courts to determine when alienation of income and short-term transfer of income-earning property constitute tax avoidance. See *Elmiger v C of IR* [1966] NZLR 683, *Mangin v C of IR* [70 ATC 6001](#); [1971] NZLR 591 and Case J61 [\(1987\) 9 NZTC 1,366](#).

On the specific issue of the assignment of partnership profits ([¶23-160](#)).

Law: IT07 ss [BG 1](#), [GA 1](#), [GB 23](#); PL s [57](#)

Last reviewed on 31 December 2025

Imputation credits and foreign tax credits [¶23-182]

[¶23-182]

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A partnership is merely an association of taxpayers, and therefore, imputation credits pass through the partnership to the individual partners. When a partnership holds shares in a company and receives a dividend with an imputation credit attached to it, those credits are passed on to the individual partners according to the provisions in s [LE 6](#). Effectively, these provisions contain a formula that allocates to the individual partners their share of the tax credits in the same proportion as the partnership income is apportioned to them. A partnership does not create or maintain an imputation credit account. The partners can, however, be affected by the imputation and other memorandum accounts.

Special rules apply to non-resident partners. Briefly, the calculation of the non-resident partner's share of imputation credits excludes any supplementary dividends derived by the non-resident partner. However, the gross amount of credits to be allocated by the partnership includes any supplementary dividends derived by non-resident partners.

New Zealand resident partners of Australian limited partnerships

Foreign tax credits are available to New Zealand partners of Australian limited partnerships when tax is paid in respect of foreign income that is assessable in New Zealand if the tax is equivalent to New Zealand income tax or non-resident withholding tax. The availability of such tax credits is addressed in 5 public rulings: [BR Pub 22/01](#), "Income tax – Australian source income earned by Australian limited partnership and foreign tax credits", [BR Pub 22/02](#), "Income tax – distributions made by Australian limited partnership and foreign tax credits", [BR Pub 22/03](#), "Income tax – distributions made by an Australian unit trust to an Australian limited partnership and foreign tax credits", [BR Pub 22/04](#), "Income tax – franked dividend received by an limited partnership and foreign tax credits", and [BR Pub 22/05](#), "Income tax – tax paid by an Australian limited partnership as a 'head company' and foreign tax credits". These rulings, which are limited in scope to Australian limited partnerships that are treated as companies under Australian law but retain partnership treatment for New Zealand tax purposes, are reissues of [BR Pub 18/01](#) to [18/05](#) and apply from the first day of the 2022–23 income year to the last day of the 2026–27 income year.

For commentary on foreign tax credits, see [¶26-250](#).

Law: IT07 s [LE 6](#)

Last reviewed on 31 December 2025

Company as partner [¶23-184]

[¶23-184]

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When a limited liability company is a partner in a partnership, any imputation credit accruing to the partnership and allocated to the corporate partner using the formula in s [LE 6](#) is credited by the company to its imputation credit account in the imputation year in which the dividend is paid.

Law: IT07 s [OB 9](#)

Last reviewed on 31 December 2025

Trustee as partner [¶23-186]

[¶23-186]

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When a trustee is a partner in a partnership, that trustee receives an allocation of the partnership's imputation credits in accordance with s [LE 6](#). The trustee must then allocate those credits to the beneficiaries of the trust in accordance with s [LE 5](#).

Law: IT07 s [LE 5](#)

Last reviewed on 31 December 2025

Valuation by new partnership [¶23-187]

[¶23-187]

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Taxpayers in partnerships cannot change livestock valuation schemes, ie national standard costs, herd valuation, cost price, market value or replacement value, high-priced livestock, and bloodstock valuation, by forming another partnership of principally the same partners, thus circumventing the 2 years' notice requirement of s [EC 11](#) ([¶27-295](#)).

Where a new partnership is formed in any income year and:

- # the new partnership owns a type of specified livestock, eg cattle, and
- # more than 50% of the property of the new partnership at the end of the income year is owned by partners who owned, either in that income year or in the previous income year, all the property of the old partnership, and
- # the old partnership owned the same type of specified livestock

the new partnership must value that type of livestock under the same valuation scheme as the old partnership.

A special rule also applies where livestock that is valued under the herd scheme by a taxpayer is transferred to an associated person ([¶27-264](#)).

Law: IT07 s [EC 13](#)

Last reviewed on 31 December 2025

Partnership elections of livestock valuation [¶23-189]

[¶23-189]

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Where specified livestock is owned by 2 or more persons jointly:

- # for an election to be valid in respect of that livestock, the election must be made by those persons jointly, and
- # if no election is made, that livestock must be valued under the national standard cost scheme (for bailed or leased specified livestock, see below).

Bailed or leased specified livestock or livestock subject to a profit-sharing arrangement

Specified livestock that is owned by 2 or more persons and that has been bailed or leased to another person must be valued at market value, unless the joint owners make a joint election to use a different valuation method. This rule also applies to specified livestock that is subject to a “profit-sharing arrangement”.

Briefly, a “profit-sharing arrangement” is an arrangement with the following features:

- # the specified livestock is made available to another person without a specified fee
- # any return or compensation received for making the specified livestock available depends on the profits of the business carried on by the other person
- # the person making the livestock available participates in the profits and losses of the business carried on by the other person, and
- # if a partnership arises between the 2 parties, the person making the livestock available is bound by the requirements of the Partnership Law Act 2019.

There are additional implications for specified livestock that is made available to another person under a profit-sharing arrangement and that is valued under the national standard cost scheme or the cost price method. In that event, there is a notional single owner of the livestock comprising the actual owner, any other bailor and the person who has use of the livestock.

A livestock valuation election made in respect of a person's livestock interest in a partnership is treated separately from any other livestock interest that the person has.

Law: IT07 ss [EC 12](#), [YA 1](#) (“[profit-sharing arrangement](#)”)

Last reviewed on 31 December 2025